



LIFELINE: K. Prasanna with her son Prajish in their new pucca dwelling wages it is the emergence of a fraternity of NREGS workers that acted as a support system for farmers' families. Many have said the knowledge that there are so many like them gave them a new confidence," says C.V. Joy, NREGS district coordinator.

lowed by writing off of the interest—to-talling Rs 88 crore in Wayanad—on all bank farm loans, about Rs 210 crore, availed by farmers up to 2001. The third step was the formation of a state Debt Relief Commission (DRC) in April 2007 which received a whopping 6 lakh applications from indebted farmers in just three months. DRC has recommended that the state take over all bank loans up to a limit of Rs 25,000 of small and marginal farmers with holdings of less than an acre. Although the cost works out to only about Rs 75 crore, it is yet to be implemented. Chief Minister V.S. Achuthanandan says: "We will implement it after discussions with banks. We cannot give assured prices for cash crops which are internationally traded. But we have given assured prices for paddy. This, along with the DRC, have stemmed farm suicides in Kerala." DRC's recommendations have given a ray of hope to farmers, says Prabhat Patnaik, vice chairman of the state planning board.

Besides all these measures, the contribution of NREGS in improving farmers' lot has been immense. Wayanad and Palakkad were the only two districts selected under the scheme. Till the end of 2007, more than Rs 24 crore was spent in Wayanad under the scheme for which more than 1.12 lakh persons, including 43,832 women, were registered. The daily wage under NREGS in Kerala at Rs 125, irrespective of gender, is the highest in the country. "More than the

PLANTING HOPE

- Two-year long moratorium on farm loans and stoppage of recovery proceedings by banks
- Rs 50,000 as compensation for families of 412 farmers who committed suicide
- Waiver of interest on all bank farm loans availed by farmers up to 2001
- Successful implementation of NREGS in Wayanad and Palakkad with the highest wages in the country for both men and women workers
- Formation of the state Debt Relief Commission headed by a former high court judge
- Collective resistance by farmers' organisations to forcible attachment of properties by banks
- Considerable rise in the prices of cash crops including coffee, pepper and ginger

K. Pushpa who worked on a new waterbody in Poothadi said the best thing about NREGS was that not a single paisa from their wages was siphoned by middlemen. "The money comes directly to our bank accounts opened along with our registration." Work under NREGS includes building elephant trenches, waterbodies, roads etc. "The main complaint is that most work done under NREGS is unproductive which would make the scheme unsustainable in the long run. From this year we will give priority to value-addition of agricultural products and asset creation" says P Krishnaprasad, local MLA and CPI(M) leader. But P.P. Gopi, Wayand district collector says: "Trenches have prevented elephants from entering villages and causing damage to property and crops. How can one call trench-building unproductive?" The scheme, however, does have glitches—bureaucratic delays hold up payment of wages. "We are forced to leave NREGS and seek work elsewhere. How can one run the family if wages are delayed for two months?" says V. Sathi from Sultan Battery—a town in Wayanad. In charge of NREGS in Poothadi panchayat, T.S. Muralidharan, blames it on the shortage of staff.

Simultaneously, many farmer organisations also lay claim to the improved situation. "Our association has raised the confidence level of farmers by resisting attempts by banks to forcibly attach the properties of defaulting farmers," says M. Surendran of Indian Farmer Movement. "We do not shirk loan repayment. But exorbitant interest rates and denial of enough time to repay will not be allowed" he adds. Banks are not too happy with the situation. "We continue to give farm loans though overdue of repayment still continues. In six months till September last year, Rs 300 crore was disbursed but the credit-deposit ratio in the district is still among the highest in the state" said K. Balan, lead bank manager, Wayanad. The government has now decided to reimburse co-operative banks which have written off the interest.

Last but not the least, a steady increase in the prices of crops has improved the outlook for farmers. Seems even God is on the side of people in His own country. ■